

STRC (Stretch) Peg Reversion Strategy

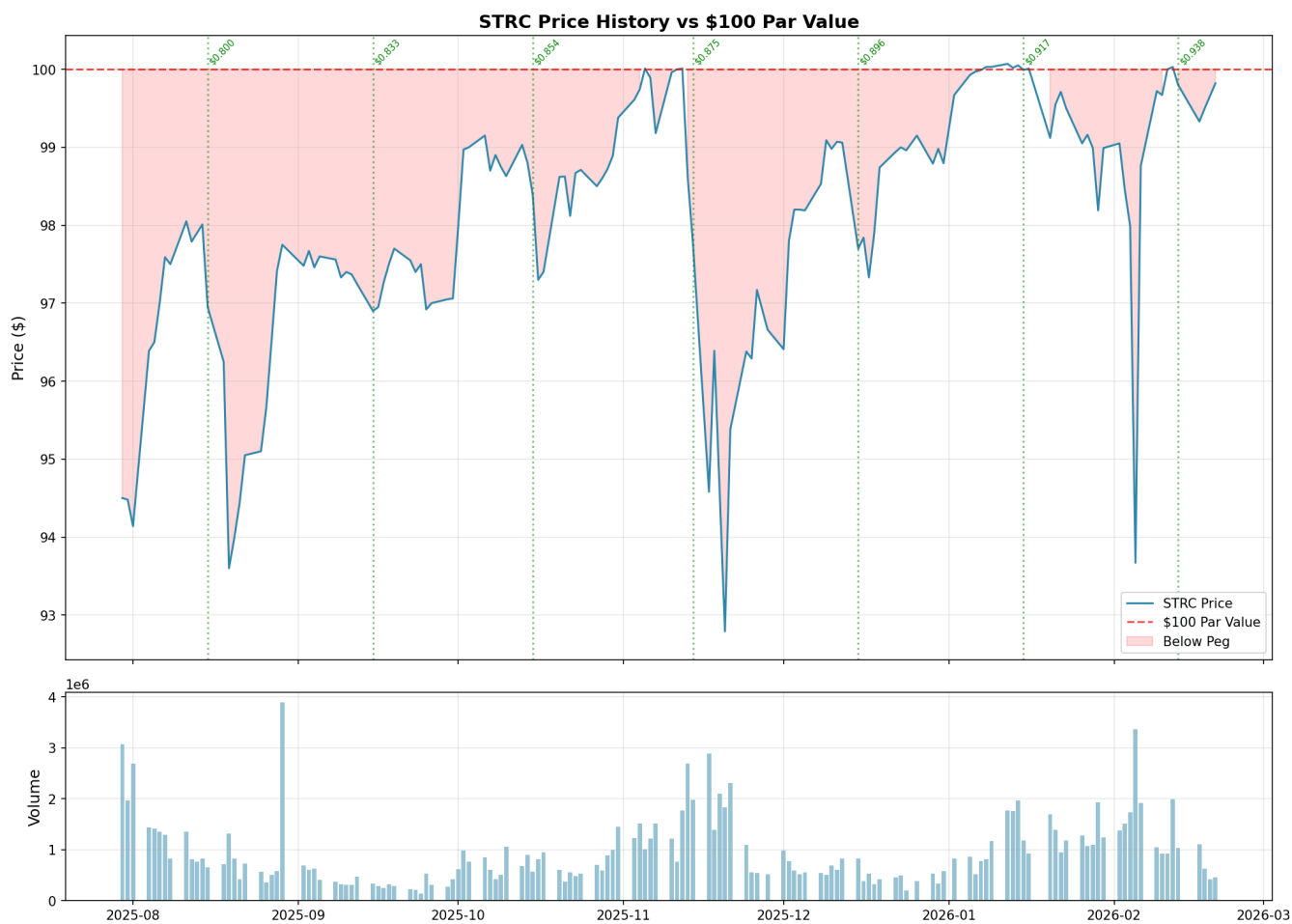
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Executive Summary

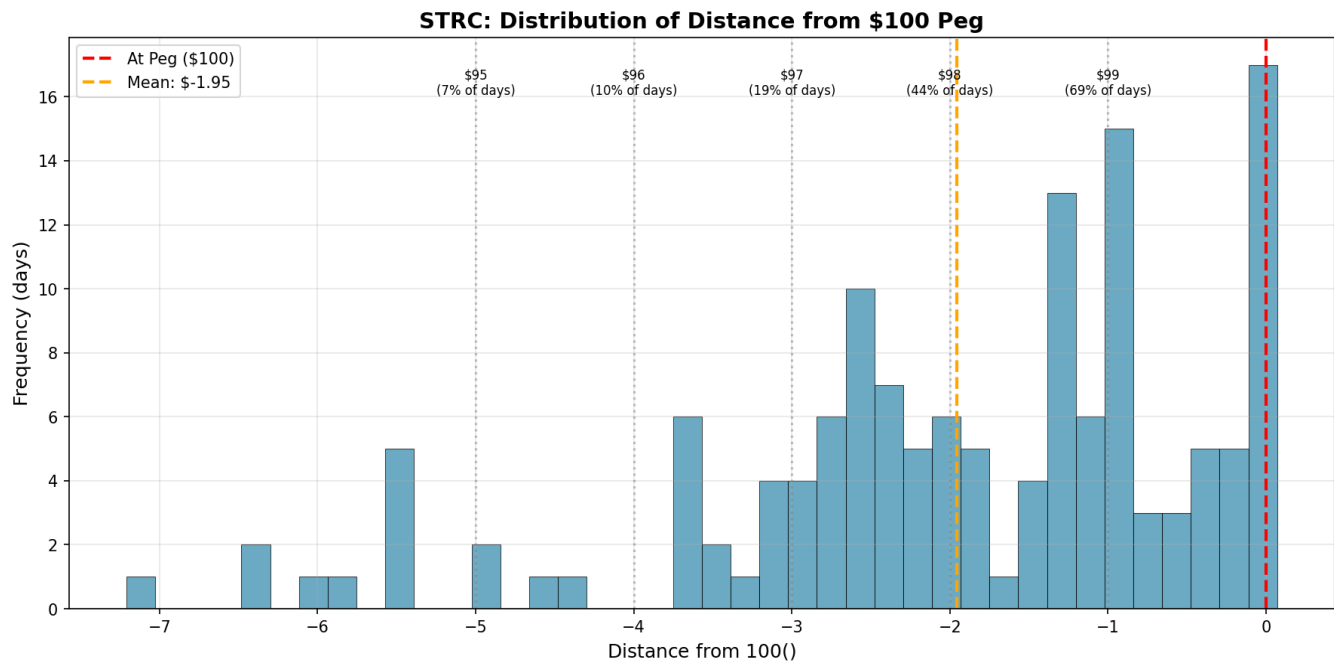
STRC is Strategy's perpetual preferred stock targeting \$100 par value with ~11% annual variable dividends. Over 142 trading days, the price has **never reached \$100** (always below peg). Mean price: **\$98.05**, range: \$92.79 - \$100.07.

This report analyzes peg-reversion strategies, dividend capture timing, and optimal entry/exit thresholds.

1. Pattern Analysis



Price Distribution Relative to \$100 Peg



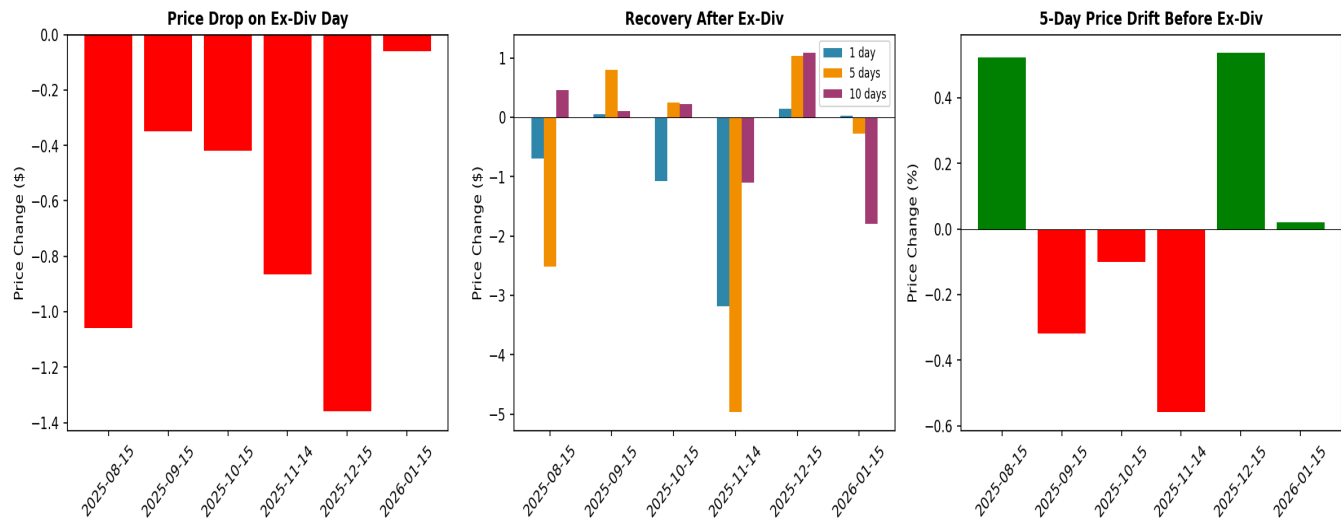
Threshold	% Days Below	Buying Opportunity
\$99.5	79.6%	Very Frequent
\$99	69.0%	Frequent
\$98	44.4%	Frequent
\$97	19.0%	Rare
\$96	9.9%	Rare
\$95	7.0%	Rare

Mean Reversion Speed

Buy Below	Episodes	Avg Days to Recover	Max Days	Avg Gain %
\$99.5	6	28	96	1.25%
\$99	10	14	65	0.78%
\$98.5	7	15	64	0.95%
\$98	7	13	48	0.90%
\$97	7	5	13	1.34%
\$96	5	4	8	1.93%
\$95	5	2	5	0.86%

2. Dividend Cycle Analysis

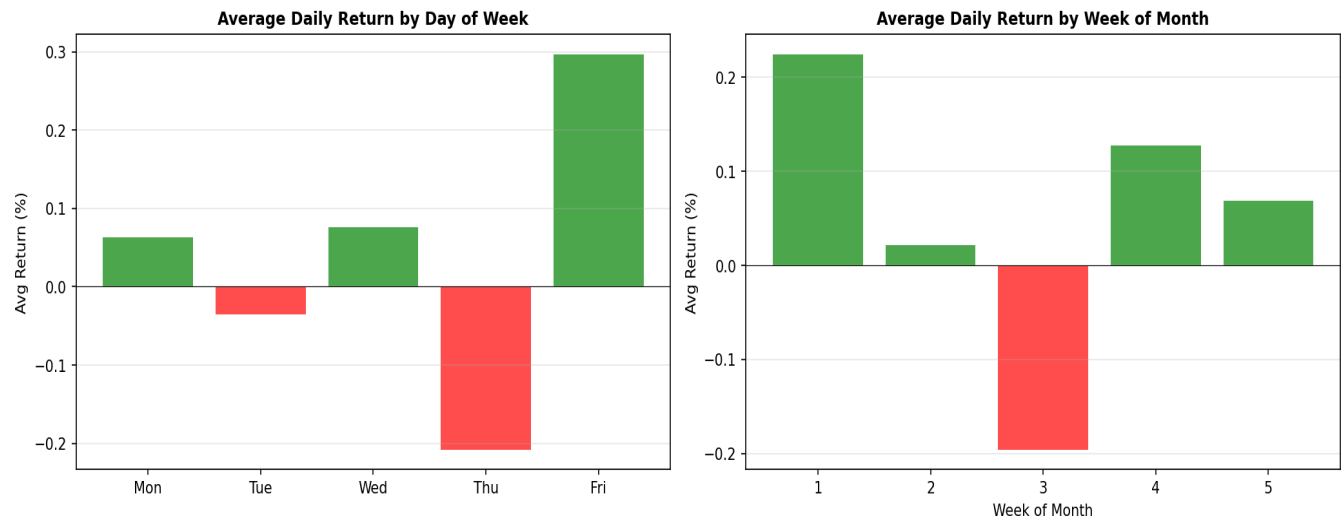
STRC Dividend Cycle Analysis



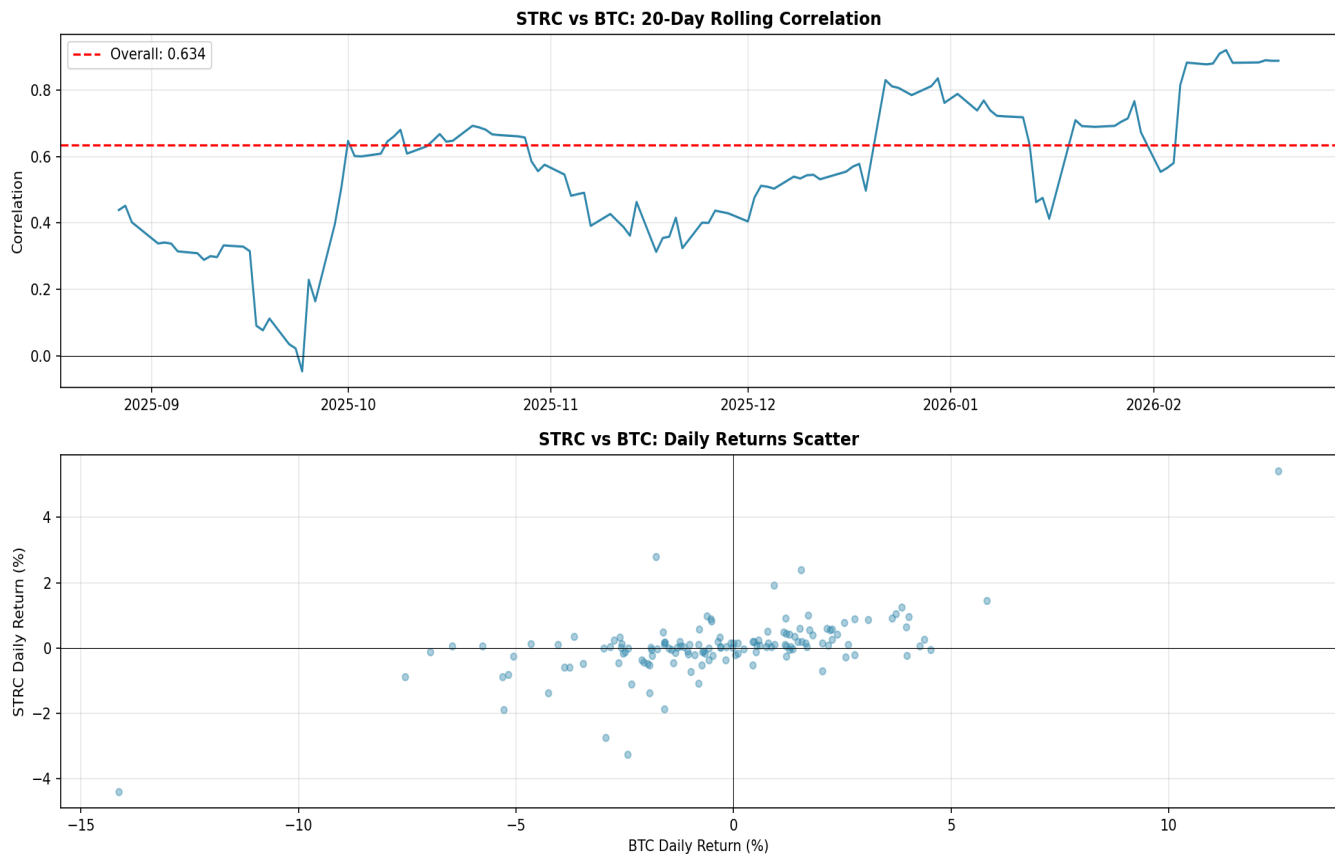
- Key Dividend Findings:**
- Average ex-div price drop: \$-0.69 (vs avg dividend: \$0.862)
 - Average 5-day recovery: \$-0.95
 - Average 10-day recovery: \$-0.17
 - Pre-div 5-day drift: 0.02% (positive = price rises into ex-div)

3. Time-Based Patterns

STRC Time-Based Patterns



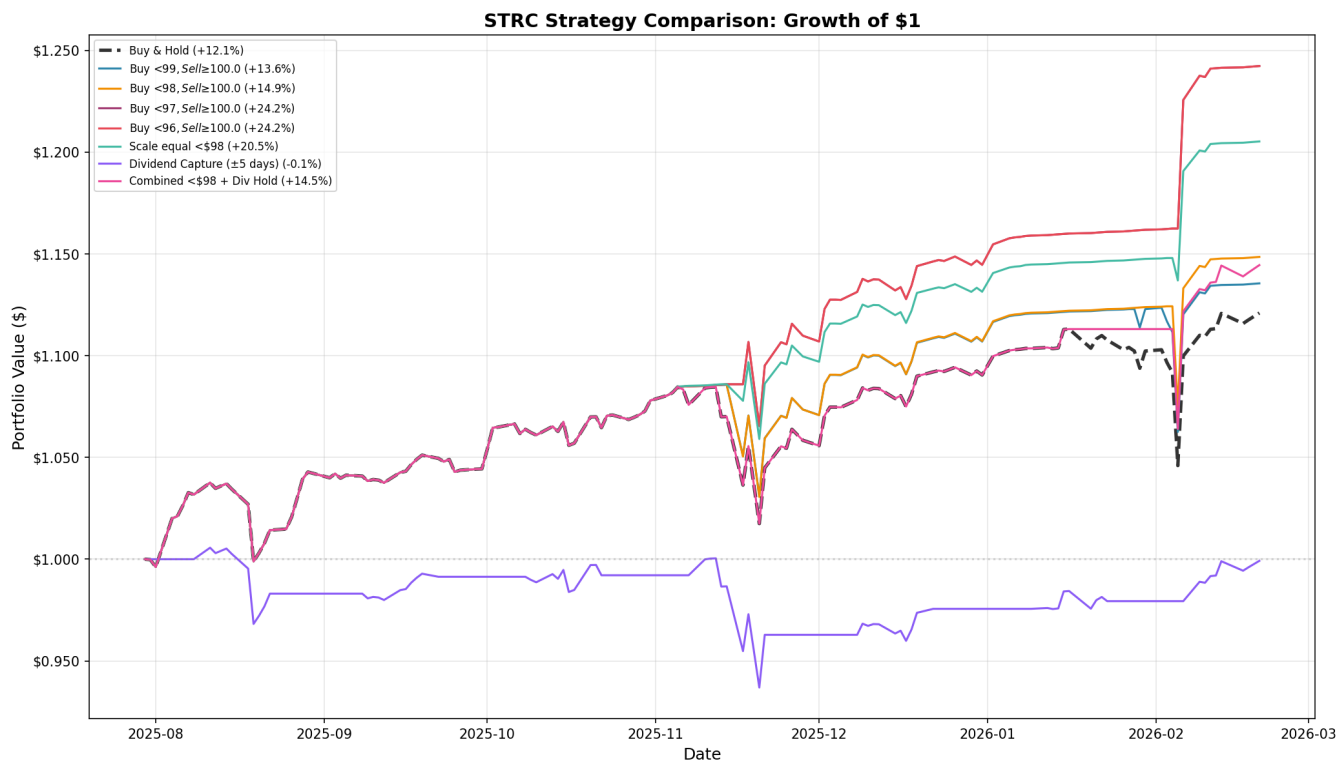
4. Bitcoin Correlation



BTC Correlation: 0.634 (daily returns)
On big BTC down days (>3% drop): 16 occurrences, avg STRC return: -0.73%, worst STRC day: -4.41%

5. Strategy Backtest Results

Strategy	Total Return	Annualized	Sharpe	Max DD	% Time In	Trades	Divs Collected
Buy & Hold	+12.10%	+22.5%	1.34	-6.2%	100%	1	\$6.11
Buy <\$99, Sell ≥\$100.0	+13.55%	+25.4%	1.53	-5.4%	84%	3	\$4.33
Buy <\$98, Sell ≥\$100.0	+14.85%	+28.0%	1.73	-5.1%	80%	3	\$3.43
Buy <\$97, Sell ≥\$100.0	+24.23%	+47.2%	3.65	-3.7%	78%	3	\$3.46
Buy <\$96, Sell ≥\$100.0	+24.23%	+47.2%	3.65	-3.7%	78%	3	\$3.46
Buy <\$95, Sell ≥\$100.0	+24.23%	+47.2%	3.65	-3.7%	78%	3	\$3.46
Scale equal <\$98	+20.53%	+39.4%	3.17	-3.7%	0%	0	\$0.00
Scale equal <\$97	+23.18%	+44.9%	4.05	-2.8%	0%	0	\$0.00
Dividend Capture (±5 days)	-0.08%	-0.1%	-0.49	-6.8%	94%	6	\$5.17
Combined <\$98 + Div Hold	+14.45%	+27.2%	1.66	-6.2%	92%	1	\$1.01
Combined <\$97 + Div Hold	+19.73%	+37.8%	2.65	-6.2%	91%	1	\$1.05



Key Takeaways

- Peg reversion beats buy & hold.** The best risk-adjusted strategy is **Buy <\$97, Sell ≥\$100.0** with a +47.2% annualized return and Sharpe ratio of 3.65, vs buy & hold at +22.5% / 1.34 Sharpe.
- Lower thresholds = better risk/reward, but fewer trades.** Waiting for deeper dips produces higher returns with smaller drawdowns. The Buy <\$97, Sell ≥\$100.0 strategy only invested 78% of the time while cutting max drawdown to -3.7% (vs -6.2% for buy & hold).

3. \$96 and \$97 thresholds produce identical results — price never bounced at \$96 without also crossing \$97, so \$97 is the more practical entry.

4. Dividend capture alone is worthless. The pure dividend capture strategy returned just -0.08%. Price movement around ex-div dates swamps the ~\$0.85 monthly dividend.

5. Mean reversion is fast. Below \$97: recovers in avg 5 days with 1.3% avg gain. Below \$95: recovers in avg 2 days.

6. BTC correlation is meaningful at 0.634. Large BTC selloffs drag STRC down, which creates the buying opportunities. Monitor BTC for entry signals.

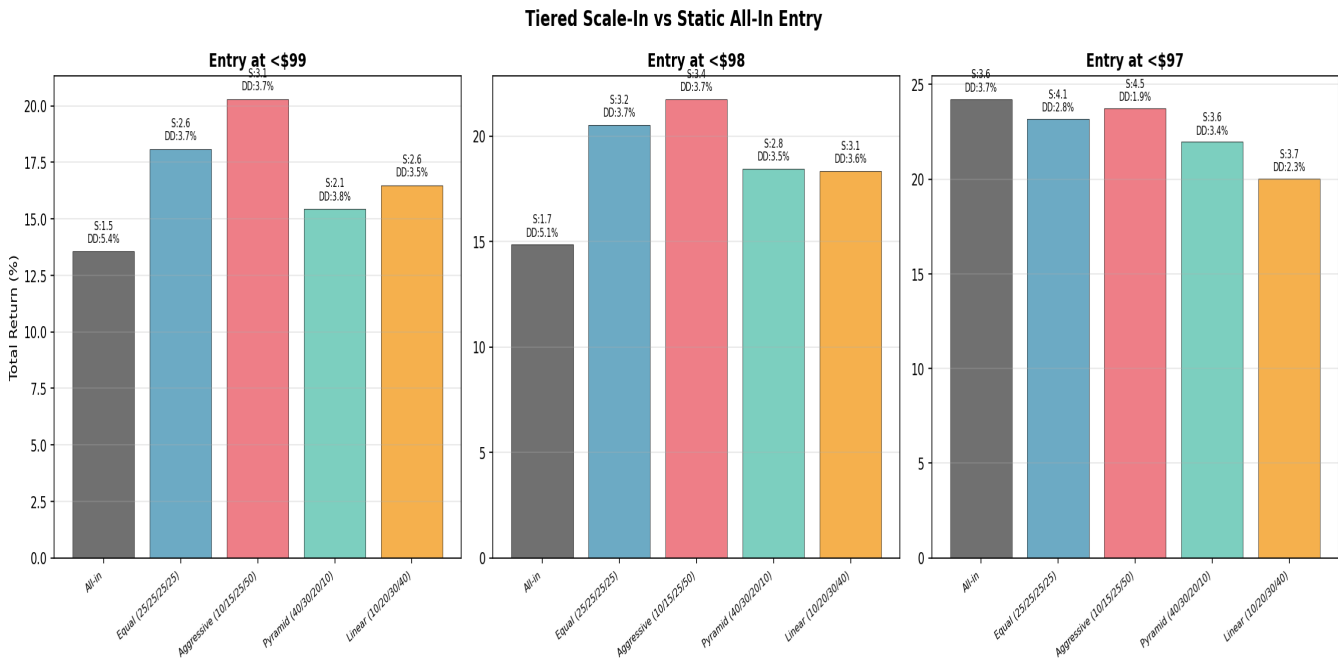
7. Idle cash earns T-bill rates. When not in STRC, capital earns ~4.5% in T-bills/money market. This is already baked into the peg-reversion returns above, making the comparison fair vs buy & hold.

8. Caveat: limited data. Only 142 trading days of history. STRC is a new instrument and these patterns may not persist. The peg mechanism depends on Strategy's willingness to raise dividends — if BTC crashes hard enough, par recovery is not guaranteed.

6. Tiered Scale-In vs Static All-In

Does investing more at each deeper price level beat a simple all-in at one threshold? We compare four weighting schemes across entry thresholds:

Scheme	Level 1	Level 2	Level 3	Level 4	Logic
All-in	100%	—	—	—	Full position at first trigger
Equal	25%	25%	25%	25%	Spread evenly across dips
Aggressive	10%	15%	25%	50%	Heaviest at deepest dips
Pyramid	40%	30%	20%	10%	Most capital deployed early
Linear	10%	20%	30%	40%	Linearly increasing with dip

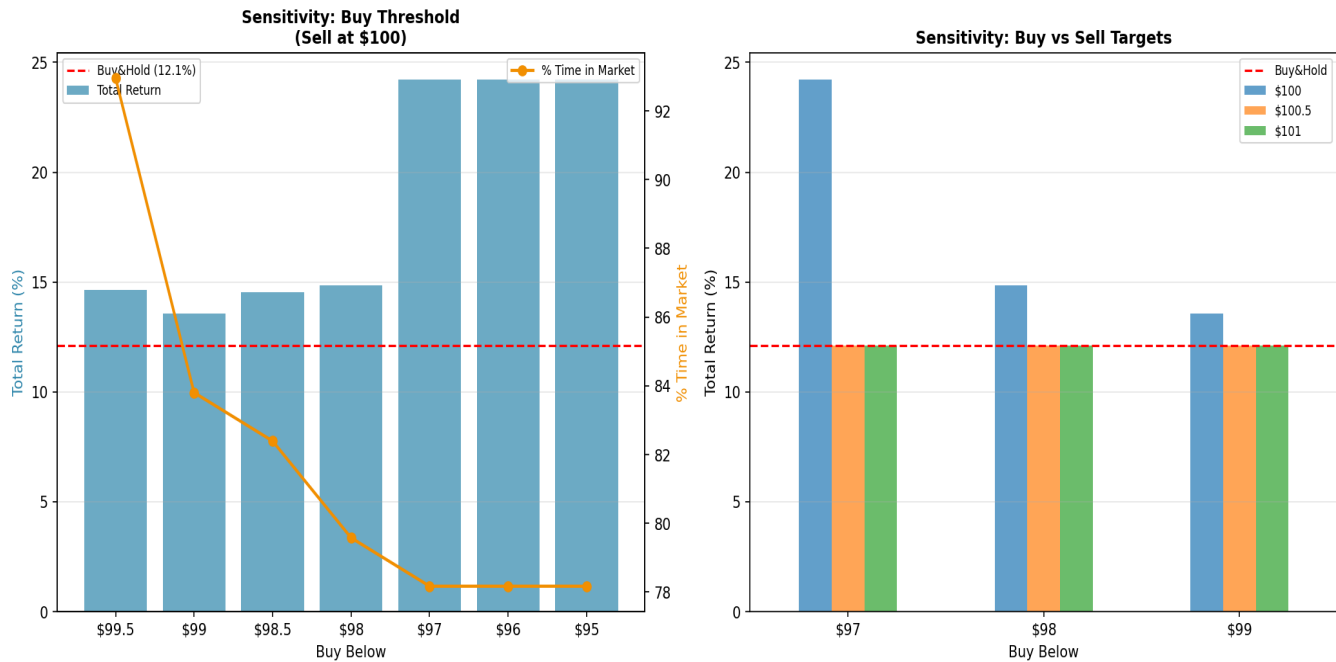


Threshold	Approach	Return	Annualized	Sharpe	Max DD
\$99	All-in	+13.55%	+25.4%	1.53	-5.4%
\$99	Equal	+18.09%	+34.5%	2.63	-3.7%
\$99	Aggressive	+20.30%	+39.0%	3.13	-3.7%
\$99	Pyramid	+15.45%	+29.1%	2.13	-3.8%
\$99	Linear	+16.49%	+31.2%	2.64	-3.5%
\$98	All-in	+14.85%	+28.0%	1.73	-5.1%
\$98	Equal	+20.53%	+39.4%	3.17	-3.7%
\$98	Aggressive	+21.76%	+42.0%	3.44	-3.7%
\$98	Pyramid	+18.45%	+35.2%	2.80	-3.5%
\$98	Linear	+18.35%	+35.0%	3.08	-3.6%
\$97	All-in	+24.23%	+47.2%	3.65	-3.7%
\$97	Equal	+23.18%	+44.9%	4.05	-2.8%
\$97	Aggressive	+23.74%	+46.1%	4.48	-1.9%
\$97	Pyramid	+21.97%	+42.4%	3.64	-3.4%

\$97	Linear	+20.04%	+38.4%	3.67	-2.3%
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Verdict: At the \$97 threshold, **Scale aggressive <\$97** (Sharpe 4.48) edges out static all-in (Sharpe 3.65). Tiered approaches reduce drawdown by averaging into a lower cost basis, though the return difference is -0.5pp.

7. Sensitivity Analysis



8. Tax Considerations

STRC Dividend Tax Classification:

- STRC dividends are classified as **return of capital (ROC)** until basis is exhausted, then taxed as capital gains
- ROC reduces your cost basis rather than being taxed as ordinary income
- This means dividends are **tax-deferred** until you sell (or basis reaches \$0)
- Holding period matters: shares held >1 year qualify for long-term capital gains rates (15-20%) vs short-term (ordinary income rates up to 37%)

Strategy Tax Implications:

- **Buy & Hold:** Most tax-efficient - ROC dividends reduce basis, capital gains deferred
- **Peg Reversion:** Frequent trading may trigger short-term capital gains
- **Dividend Capture:** Short holding periods = short-term capital gains on price appreciation
- **Combined:** Holding through dividends improves tax treatment if position held >1 year

Note: Consult a tax professional. See strategy.com/investor-relations/dividend-return-of-capital for official ROC information.

9. Opportunity Cost: What to Hold When Not in STRC

When the peg-reversion strategy has you in cash (waiting for a dip), consider:

- **T-Bills / Money Market:** ~4-5% annualized, zero risk, instant liquidity
- **IBIT Night Strategy:** Higher return potential but requires active management
- **SGOV (Treasury ETF):** Short-term treasuries, ~4.5% yield, highly liquid
- **Cash:** 0% return but maximum flexibility for quick entry

The best choice depends on how quickly you need to deploy capital when STRC dips. If using limit orders, cash or T-bills work best for instant execution.